

² The demise of the Chromatis acquisition is discussed in *The Financial Times*, August 29, 2001, p. 1, and September 1/September 2, 2001, p. XXIII.

³ When accounting for acquisitions, loading up on WOOPRAD enabled Tyco to reduce the portion of the purchase price that it allocated to goodwill. Since WOOPRAD can be expensed up front, while goodwill (under the accounting rules then in force) had to be written off over multi-year periods, this maneuver enabled Tyco to minimize the impact of goodwill charges on its future earnings.

⁴ In 2002, Tyco's former chief executive, L. Dennis Kozlowski, was charged by state and Federal legal authorities with income tax fraud and improperly diverting Tyco's corporate assets for his own use, including the appropriation of \$15,000 for an umbrella stand and \$6,000 for a shower curtain. Kozlowski denied all charges.

⁵ Disclosure: Jason Zweig is an employee of Time Inc., formerly a division of Time Warner and now a unit of AOL Time Warner Inc.

¹ eToys' prospectus had a gatefold cover featuring an original cartoon of Arthur the aardvark, showing in comic style how much easier it would be to buy tchotchkes for children at eToys than at a traditional toy store. As analyst Gail Bronson of IPO Monitor told the Associated Press on the day of eToys' stock offering, "eToys has very, very smartly managed the development of the company last year and positioned themselves to be the children's center of the Internet." Added Bronson: "The key to a successful IPO, especially a dot-com IPO, is good marketing and branding." Bronson was partly right: That's the key to a successful IPO for the issuing company and its bankers. Unfortunately, for *investors* the key to a successful IPO is earnings, which eToys didn't have.

^{*} Here Graham is describing Real Estate Investment Trust, which was acquired by San Francisco Real Estate Investors in 1983 for \$50 a share. The next paragraph describes Realty Equities Corp. of New York.

[†] The actor Paul Newman was briefly a major shareholder in Realty Equities Corp. of New York after it bought his movie-production company, Kayos, Inc., in 1969.

^{*} Graham, an avid reader of poetry, is quoting Thomas Gray's "Elegy Written in a Country Churchyard."

^{*} Realty Equities was delisted from the American Stock Exchange in September 1973. In 1974, the U.S. Securities and Exchange Commission sued Realty Equities' accountants for fraud. Realty Equities' founder, Morris Karp, later pleaded guilty to one count of grand larceny. In